

IT Act 2000

Information Technology Act, 2000

Information Technology (IT) Act, 2000

User Query :

I gave my mobile number, email address, identification details and other personal information to an online service for account verification. A few months later, I learned that the company's database had been accessed by an unauthorized person and customer information was circulating online. The company knew about the incident but did not inform affected users for some time. What legal provisions may apply?

Job Id. :

qwen3-30b/Scenario 10/Information Technology (IT) Act, 2000

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Date :

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AI-Powered Legal Intelligence Platform

APPLICABLE SECTIONS

Section 43

— **Penalty and compensation for damage to computer, computer system, etc.**

The database was accessed by an unauthorised person.

Section 66

— **Computer related offences**

Applies where the relevant **section 43** act was done dishonestly or fraudulently.

Section 43A

— **Compensation for failure to protect data**

Potentially relevant if the body corporate handled sensitive personal data/information, was negligent in reasonable security practices, and caused wrongful loss/gain.

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

- 1 The attacker-side theory is unauthorised access under **section 43** with **section 66** where dishonest/fraudulent conduct is proved. Company liability under **section 43A** is conditional on the statutory sensitive-data, negligence and loss/gain requirements. Do not automatically treat a breach caused by an outside attacker as a contractual/confidentiality disclosure offence.

✓ STRENGTHS & RIGHTS

- 1 The scenario expressly states unauthorised database access.

✗ RISKS & OBLIGATIONS

- 1 A data breach does not by itself prove **section 43A** negligence, and the IT Act does not create the DPDP-style breach-notification duty.

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

COMPLIANCE STEPS

1. Preserve breach notices, forensic reports, account records and evidence showing when the company became aware.

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